

When it paused for 2 weeks in February, he knew the stock was primed. The question then became, what was it going to do next? The only way to find that out was to wait.

The following week price dropped. “I waited until price closed above the right rim. I knew that to buy earlier would risk a reversal and the stock might not recover for a long time. If the stock moved above the right rim, then the probabilities suggested a continued rise.”

When price hit 22, he bought. He looked back at his chart and decided to put a stop-loss order 15 cents below the saucer rim, just below a support level. He decided that if the stock hit his stop, in all likelihood it was going down.

Satisfied with his investment decision and trading plan, he was confident that his career change to day trading was a simple step away. “I was even more confident as the stock climbed. Overconfident. Don't laugh, but I started looking through brochures from several companies that offered seminars on day trading. I thought I'd turn pro.”

The stock declined and closed below the up trendline for two days. “It was a warning sign anyone could have missed. The following week, my world ended.”

He received a call from his broker saying price had hit his stop-loss order. “I was upset. I threw things and booked a loss of about a buck a share.”

As he watched the stock, he became even more upset. He sold at the low for the week.

Three years later, after day trading was over for the day, Glen happened to review this trade. He decided to pull up the chart and gasped at what he found. The stock peaked at 66, exactly triple his purchase price.